

Just as regular exercise and good eating habits make you physically healthy, regular investments make you financially healthy. In the later sections of the book, you will find sufficient tools and spreadsheets to calculate and plan how much money you need to invest each month and for how many years to reach your financial goal.

This monthly investment is important because investments have to be a regular habit. You must continue to look at the health of your investments and change the portfolio allocation based on the changing market and environmental factors.

It is important to view investing as a process and not a one-time event. Often, one of the reasons we do not start investing sooner is because, after paying bills and spending money elsewhere, we do not think there is any money left over.

By making a habit of investing regularly you gain two major advantages.

You help manage investment risk. When you invest regularly, you protect yourself against buying too much when prices are high and help reduce the temptation to sell at a bad time – i.e., when prices are low (exactly the way it works in an SIP)

You "pay yourself first". A program of regular investment like SIP or STP or PF deduction ensures that you attend to your long-term plan before you are tempted to spend your money on short-term needs. Successful investing does not mean holding your money waiting for the right time to invest or frantically trying to withdraw your money when times are difficult. By investing a set amount regularly (say once a month), regardless of the market environment, and speculations regarding investing you can harness the power of two simple, yet highly effective investing principles - Rupee Cost Averaging and compounding.

Invest before it is taxed

We know that there are certain retirement benefits based investment tools that allow you to invest in the nest egg prior to tax deduction from your